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Technology - European Semiconductors | Europe

Global Technology Webcast: Space Technology, Orbital Computing Opportunities and Memory

Join Shawn Kim, Adam Jonas, William Tackett and Amelia Scicluna to discuss SpaceX, Orbital Computing Opportunities, Memory and how to play the theme.

MORGAN STANLEY & CO. INTERNATIONAL PLC+		
Shawn Kim		
Equity Analyst		
Shawn.Kim@morganstanley.com		+44 20 7677-1018
MORGAN STANLEY & CO. LLC		
Adam Jonas, CFA		
Equity Analyst		
Adam.Jonas@morganstanley.com		+1 212 761-1726
William Tackett, CFA		
Research Associate		
William.Tackett@morganstanley.com		+1 212 761-6028
MORGAN STANLEY & CO. INTERNATIONAL PLC+		
Amelia M Scicluna		
Research Associate		
Amelia.Scicluna@morganstanley.com		+44 20 7425-6694

TECHNOLOGY - EUROPEAN SEMICONDUCTORS	
Europe	
Industry View	In-Line

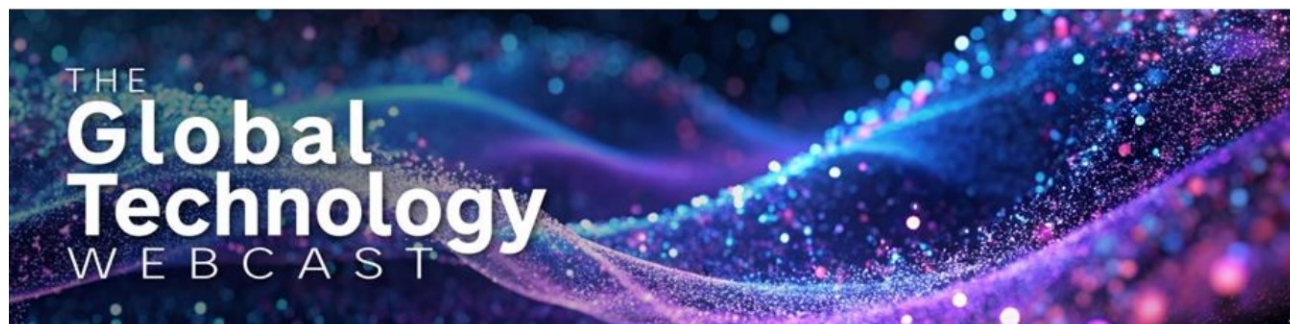
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OVERVIEW

Global Technology Webcast**Space Technology, Orbital Computing Opportunities and Memory****MORGAN STANLEY RESEARCH
Europe**

Morgan Stanley & Co. International plc +
Shawn Kim
Equity Analyst
Shawn.Kim@morganstanley.com
+44 20 7677-1018

Morgan Stanley & Co. LLC
Adam Jonas
Equity Analyst
Adam.Jonas@morganstanley.com
+1 212 761 1726

William Tackett
Research Associate
William.Tackett@morganstanley.com
+1 212 761-6028

Morgan Stanley & Co. International plc +
Amelia Scicluna
Research Associate
Amelia.Scicluna@morganstanley.com
+44 20 7425-2803

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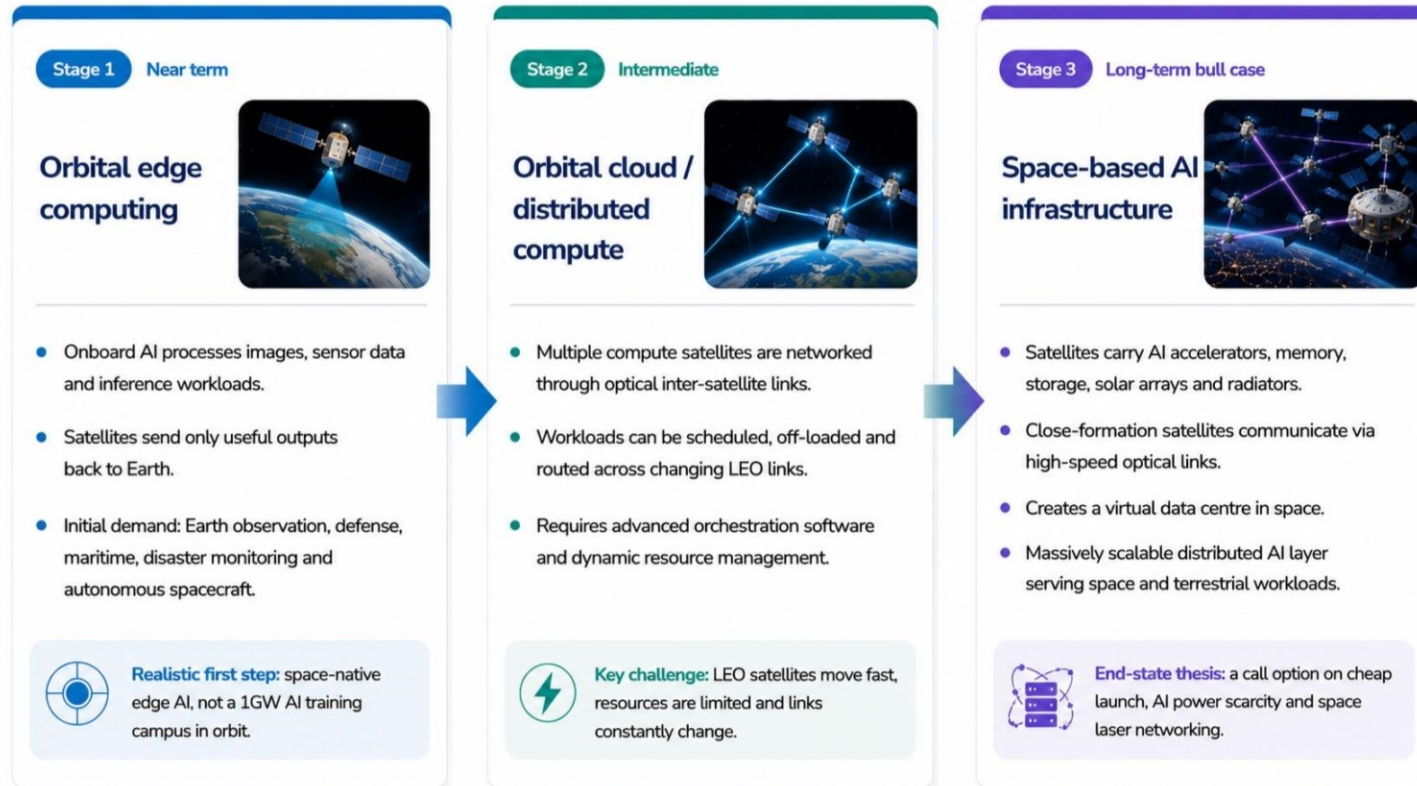
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Shawn Kim

Head of Asia and Europe Technology Research

Orbital Compute – A New Frontier for AI Infrastructure



Source: Morgan Stanley Research

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July, 2026

Orbital Compute – Potential Benefits and Key Challenges

Potential Benefits	Rationale	Key Challenges	Rationale
Power	Near-continuous solar exposure in dawn–dusk SSO; no terrestrial grid constraints.	Radiation	Requires radiation-tolerant chips, ECC and shielding.
Thermal	No air or water cooling, but heat must still be rejected via heat pipes and radiators.	Repair / Refresh	On-orbit maintenance is difficult; AI hardware refresh cycles are short.
Latency	LEO enables low-latency connectivity (~10–30 ms RTT).	Optical networking	AI-scale distributed compute needs far higher inter-satellite bandwidth than today's satellite networks.
Scalability	Reusable launch vehicles could lower deployment cost over time.	Orbital debris / security	Collision avoidance, cyber risk and physical protection become core operating requirements.

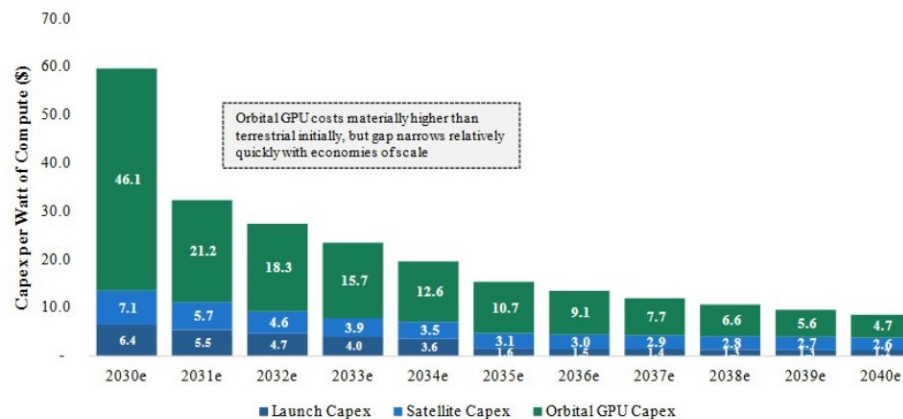
Source: Morgan Stanley Research

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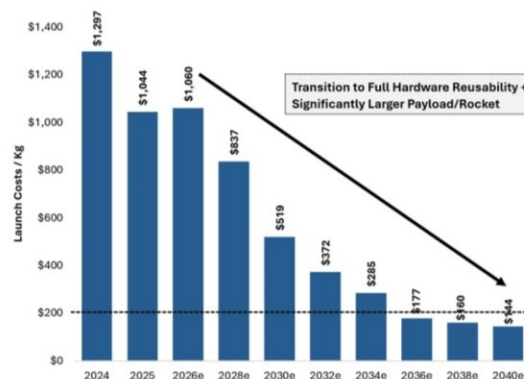
Orbital Compute Economics: Cost per Watt Trending Toward Parity

Orbital compute capex/W is modeled to fall from ~US\$60/W in 2030 to US\$9/W by 2040, driven by cheaper reusable launch, lower satellite hardware cost and improved payload economics.

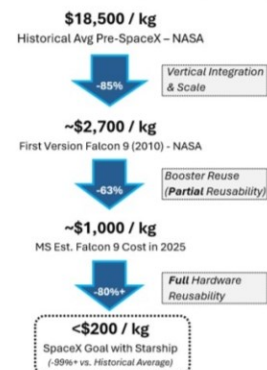
Capex per Watt for Orbital Compute



Projected SpaceX Launch Costs/Kg Over Time



Historical Costs & SpaceX Projection



Source: Company Data, NASA, Morgan Stanley Research estimates

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How it works – the orbital compute stack

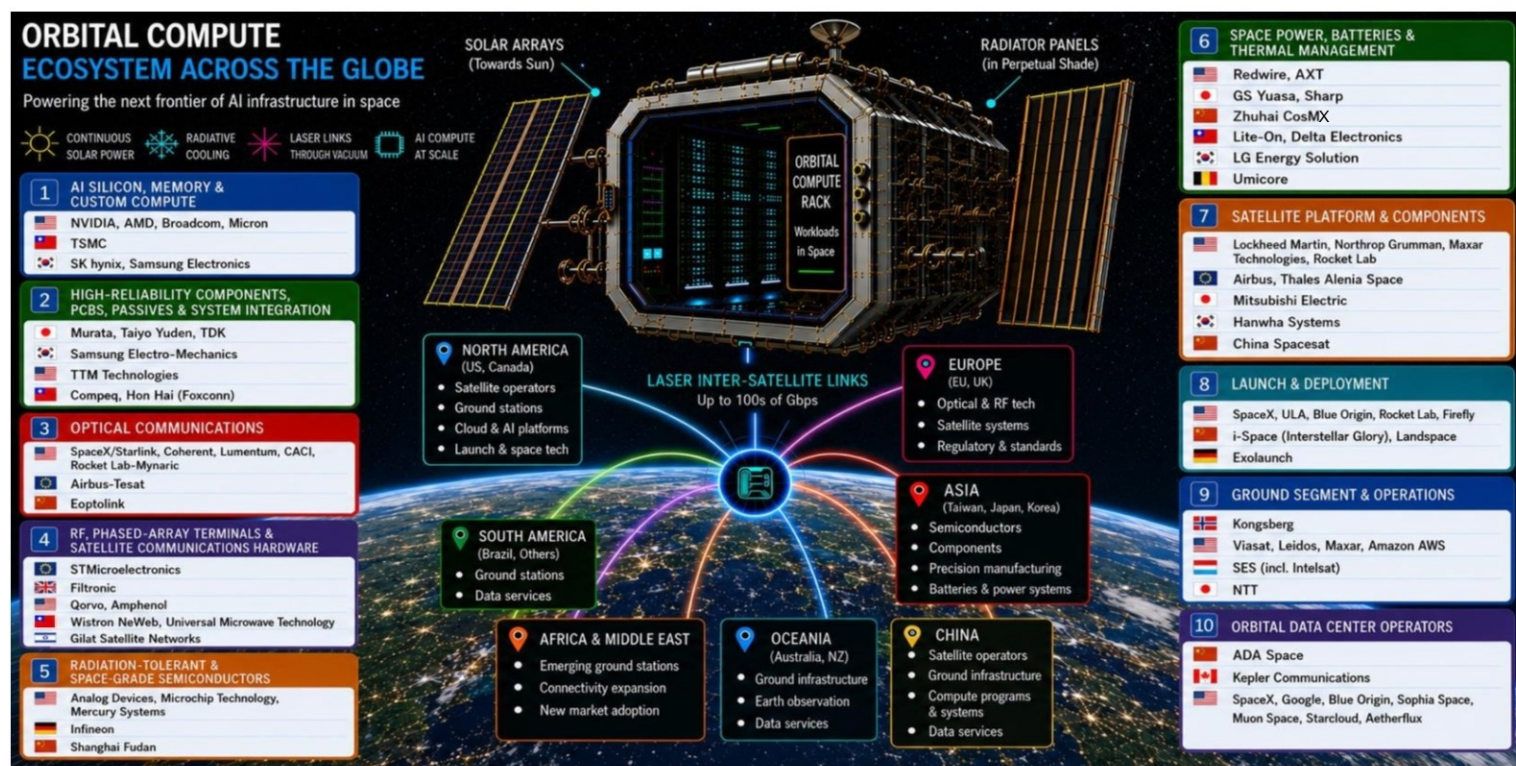
Layer	What it does	Key technology requirements
AI compute payload	Runs inference, image processing, sensor analytics and selected AI workloads in orbit	AI accelerators, CPUs, High Bandwidth Memory, error correction, fault-tolerant software
Server / payload module	Packages chips, boards, storage and power delivery into a launch-tolerant compute unit	Rugged AI trays, vibration tolerance, remote management, modular replacement
Power system	Converts solar energy into stable compute power	Solar arrays, batteries, high-efficiency direct-current conversion, power management integrated circuits
Thermal system	Moves heat from chips to radiators and rejects it into space	Cold plates, heat pipes, thermal interface materials, radiator coatings, thermal sensors
Orbit and formation	Determines solar exposure, latency, radiator geometry and satellite spacing	Dawn-dusk Sun-Synchronous Orbit, close-proximity formation, collision avoidance, autonomous control
Optical network	Connects satellites to each other and to ground/cloud systems	Laser terminals, coherent optics, beam steering, optical digital signal processors, Dense Wavelength Division Multiplexing
Storage and orchestration software	Buffers data, schedules workloads, routes traffic and handles failures	Solid-state drives, controllers, task scheduling, telemetry, cybersecurity, autonomous operations

Source: Morgan Stanley Research

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Mapping the Orbital Compute Technology Supply Chain

We favor **STMicroelectronics** and **Infineon** as key European enablers across the stack.



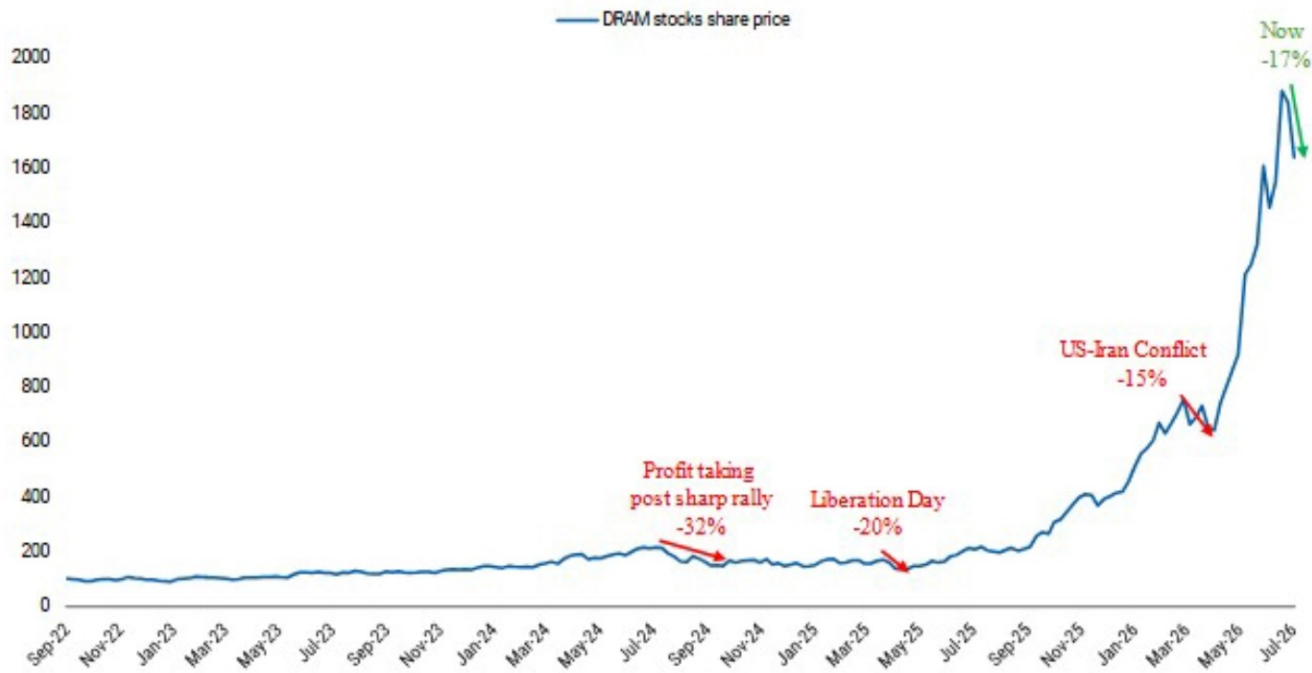
Source: Company Data, Morgan Stanley Research

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Memory: Peaking Rate of Change, but Not the End of the Cycle

Three cyclical corrections since Generative AI (Nov 2022); we view the current ~17% reset in the context of a structural bull market for AI capex.



Source: Factset, Morgan Stanley Research

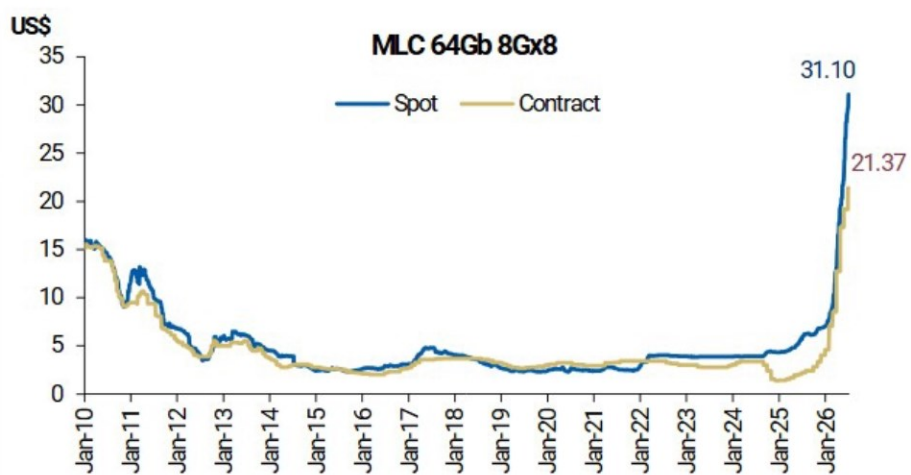
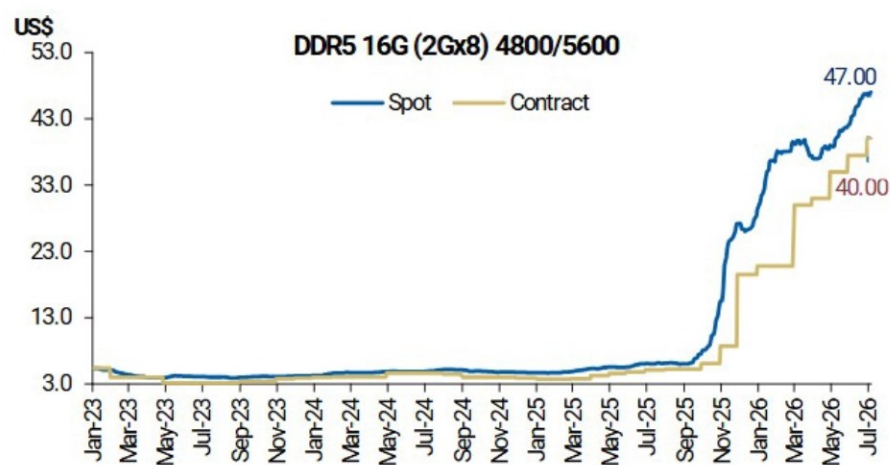
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DRAM & NAND Pricing Still Rising – but the Rate of Change Is Peaking

YoY price gains remain strong but decelerate into 4Q26 as the rate of change peaks.



Source: Trendforce, Morgan Stanley Research estimates

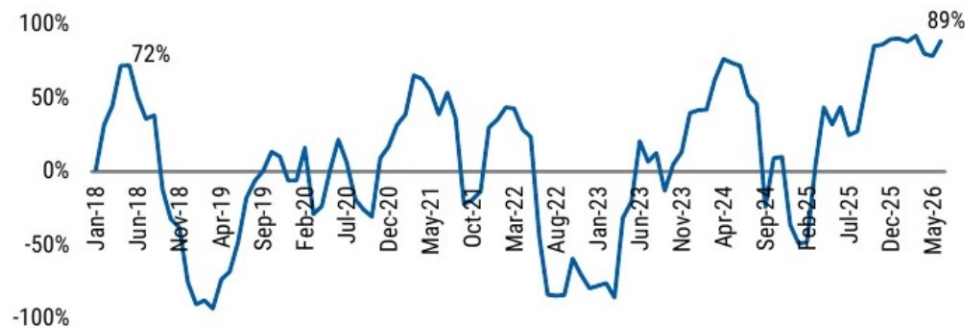
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Earnings Revision Breadth Is Coming Up Against Historical Highs

DRAM earnings revisions breadth has reached ~89%, near prior peaks – a signal memory could see relative underperformance as the rate of change fades.



Where we are cautious

- Memory momentum likely to fade as EPS revision breadth sits at historical highs and hyperscalers come under pressure.
- Corporate earnings – not memory company commentary – will drive share prices from here.

Stock preferences

- Favor DRAM and legacy memory over NAND – where the money is being spent and bottlenecks are emerging.
- Least preferred: memory module makers.

Source: FactSet, Morgan Stanley Research

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Adam Jonas

Global Embodied AI and Robotics Strategist

Morgan Stanley

William Tackett

Global Embodied AI and Robotics Associate

Morgan Stanley

Amelia Scicluna

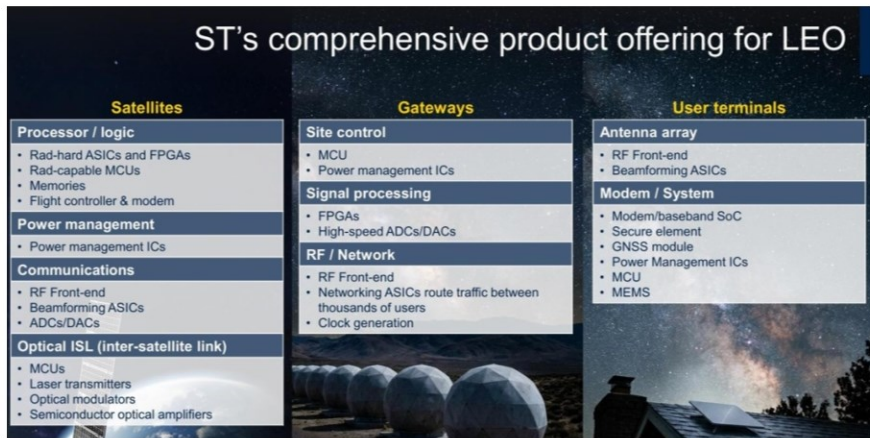
Europe Semiconductor Research Associate

STMicroelectronics: Europe Semis Space Beneficiary PT €78 (23% upside to 06/07/2026 close)

We see LEO sales growing at a 48% CAGR FY26 to FY28, primarily driven by user terminal content.



Source: Morgan Stanley Research estimates



Source: STMicroelectronics presentation

Valuation Methodology and Risks

STMicroelectronics NV (STMPA.PA)

We value STM at €78/share based on a sum-of-the-parts framework. We value the underlying core business at 18x P/E multiple on FY28e EPS €2.11 and the optical and LEO business on a 36x P/E multiple on FY28e EPS €1.34, to reflect the different growth trajectories of the cyclical and structural segments. Discounting using a 10% WACC, this implies a €78 PT.

Risks to Upside

- Market adoption of SiC
- Design wins growth across autos and industrials
- Larger than expected optical ramp in 2H26/FY27
- LEO sales materially beyond \$3bn cumulative FY26/28

Risks to Downside

- Prolonged global macro weakness, drives weak autos & industrial OEM volumes
- MCU pricing weakness as inventory channel corrects
- Design socket loss/decreasing sensor content in key smartphones
- DRAM shortages impact auto sales

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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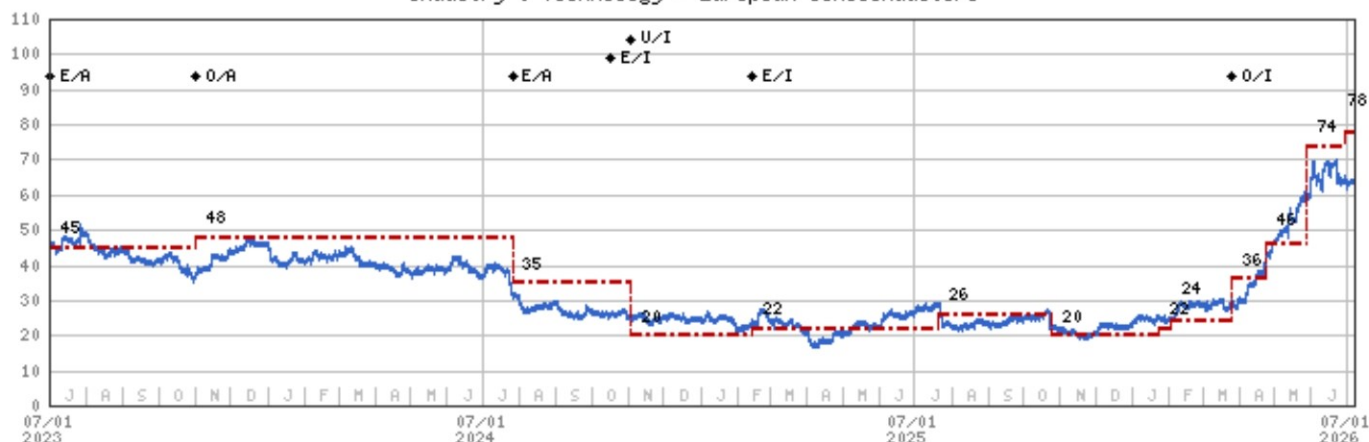
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STMicroelectronics NV (STMPA.PA) - As of 07/07/26 GMT in EUR
Industry : Technology - European Semiconductors



Stock Rating History: 7/1/21 : O/I; 12/8/21 : E/I; 2/9/22 : NA/I; 11/1/22 : NA/NR; 11/7/22 : E/A; 11/1/23 : O/A; 7/26/24 : E/A; 10/17/24 : E/I; 11/3/24 : U/I; 2/13/25 : E/I; 3/26/26 : O/I

Price Target History: 4/29/21 : 39; 8/6/21 : 40; 10/28/21 : 43.5; 12/8/21 : 44.5; 1/27/22 : 46; 2/9/22 : NA; 11/7/22 : 36; 1/30/23 : 45; 11/1/23 : 48; 7/26/24 : 35; 11/3/24 : 20; 2/13/25 : 22; 7/21/25 : 26; 10/24/25 : 20; 1/23/26 : 22; 2/2/26 : 24; 3/26/26 : 36; 4/24/26 : 46; 5/28/26 : 74; 6/30/26 : 78

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Technology - European Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/06/2026)
Lee Simpson		
ASML Holding NV (ASML.AS)	O (09/22/2025)	€1,628.40
Infineon Technologies AG (IFXGn.DE)	O (02/06/2025)	€77.21
STMicroelectronics NV (STMPA.PA)	O (03/26/2026)	€63.36
Nigel van Putten		
Aixtron SE (AIXGn.DE)	E (05/25/2023)	€50.02
ASM International NV (ASMI.AS)	O (06/19/2024)	€964.40
BE Semiconductor Industries NV (BESI.AS)	O (11/07/2022)	€258.10
Melexis N.V. (MLXS.BR)	E (02/05/2026)	€79.40
Nordic Semiconductor ASA (NOD.OL)	E (02/10/2025)	NKr 182.30
Soitec SA (SOIT.PA)	O (03/26/2026)	€118.40
VAT Group AG (VACN.S)	E (03/21/2025)	SFr 692.80

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* Historical prices are not split adjusted.